THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

COMPANY PETITION NO. (CAA)-104 (PB) /2018

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of

Scheme of Amalgamation

of

Corporate Professionals (India) Private Limited

..... Transferor Company No.1

And

Corporate Professionals.Com Private Limited

..... Transferor Company No. 2

And

Corporate Professionals Brands Holding Private Limited

..... Transferor Company No. 3

And

Aspiring Holdings Private Limited

..... Transferor Company No. 4

And

Aspiring Equity Services Private Limited

... Transferor Company No. 5

WITH

Corporate Professionals Secretarial Services Private Limited

.....Transferee Company

Judgment delivered on: 26.02.2019

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

S. K. MOHAPATRA, Hon'ble Member (T)

For Petitioners: : Mr. P. Nagesh, Advocate

: Mr. Afnaan Siddiqui, Advocates

For the Official Liquidator : Mr. Shubham Pandey, Advocate

For the Income Tax Department : Ms. Esha Kadian, Advocate

ORDER

S. K. Mohapatra, Member

1. This Joint petition has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of all the Transferor Companies into the Transferee Company. Copy of the Scheme of Amalgamation has been placed on record.

2. The "transferor company no.1", Corporate Professionals (India) Private Limited was incorporated on 27.09.2004 under the provisions of companies Act 1956, having its registered office at D-28, South Extension Part-1, New Delhi- 110049.

3. The "transferor company no.2", Corporate Professionals.Com Private Limited was incorporated on 20.02.2006 under the provisions of Companies Act 1956,

having its registered office at D-28, South Extension Part-1, New Delhi- 110049.

4. The "transferor company no.3", Corporate Professionals Brands Holding Private Limited was incorporated on 03.08.2012 under the provisions of Companies Act 1956, having its registered office at D-28, South Extension Part-1, New Delhi- 110049.

5. The "transferor company no.4", Aspiring Holdings Private Limited was incorporated on15.03.2010 under the provisions of Companies Act 1956, having its registered office at D-28, South Extension Part-1, New Delhi- 110049.

6. The "transferor company no.5", Aspiring Equity Services Private Limited was incorporated on 28.07.2006 under the provisions of Companies Act 1956, having its registered office at D-28, South Extension Part-1, New Delhi- 110049.

7. The "transferee company", M/S Corporate Professionals Secretarial Services Private Limited was incorporated on, 01.08.2006 under the provisions of Companies Act, 1956, having its registered office at D-28, South Extension Part-1, New Delhi- 110049.

8. A perusal of the petition discloses that initially the First Motion joint application seeking direction for dispensing/convening the meeting of Shareholders and Creditors was filed before this Bench vide CA (CAA) No. 115 (PB) 2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of Equity Shareholders, secured creditors and unsecured creditors of all the Petitioner Companies were dispensed with, vide order dated 13.07.2018 passed by this Bench.

9. On 03.08.2018 the Petitioners were directed to carry out publication in the newspapers 'Business Standard' English Delhi edition as well as in 'Business Standard' Hindi Delhi edition. In addition to the public notice, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, the official liquidator, the Income Tax Department and to the other relevant sectoral regulators.

10. It is seen from the records that the Petitioners have filed an affidavit dated 05.09.2018 affirming compliance of the order passed by the Tribunal dated 03.08.2018. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 03.09.2018 as well as in 'Business Standard' Hindi edition again on 03.09.2018 in relation to the date of hearing of the petition. Further, the petitioners have also affirmed that the copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region, official liquidator and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been placed on record.

11. The Regional Director has filed its report dated 18.12.2018 in which it has been submitted that:

"a) *Refer to clause 2 Part-III of the Scheme, after amalgamation the name of Transferee company shall be substituted i.e "Corporate Professional Secretarial Services Private Limited" with "Corporate*

Professionals (India) Private Limited". In this regard, any change in the name of company shall not be automatic. The transferee Company shall make necessary compliances and file requisite e-form by paying applicable fees under the provisions of Companies Act, 2013 and the rules made thereunder to give effect such alteration.

b) Refer to clause 1.2 Part-III of the scheme, the Transferee company may kindly be directed to comply with the provision of section 232(3)(i) of the Companies Act 2013, in regard to fee payable on its revised authorized share capital".

12. In response to the aforementioned observation of the Regional Director the transferee company has given an undertaking by way of affidavit confirming that:

"3. That I on behalf of the petitioner companies, hereby, undertake to comply with provisions of section 232(3)(B) (i) read with Section 233 (11) and 232 (12) of the Companies Act, 2013 and pay applicable additional fee for addition of authorized share capital of the transferor

companies with that of the transferee company and further undertake to abide by such directions as this Hon'ble Tribunal may issue for the compliance of the abovementioned provisions of the Companies Act, 2013."

13. In this regard it is clarified that on sanction of the Scheme the name of the Transferee Company will not be changed automatically. The transferee Company is directed to make necessary compliances and file requisite e-form by paying applicable fees under the provisions of Companies Act, 2013 and the rules made thereunder to give effect to such change of name.

14. The Official Liquidator has filed its report on 03.10.2018 wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

15. Ld. Counsel for the Department of Income Tax has filed its report dated 30.10.2018 in which it is submitted that no demand is pending in the case of transferor company No. 4 and 5. The order dated 11.01.2019 reveals that in respect of transferor company no.1, 3 and transferee company there is no objection in sanction of the Scheme. In respect of the transferor company no.2 it is stated by Ld. Counsel for the petitioners that it is a dormant company under Section 455 of the Companies Act, 2013 and it is filing return showing zero balance. Accordingly, it is seen that Income Tax Department has not raised any objection against sanction of the Scheme.

16. Nevertheless, in order to protect the interest of the revenue it is made clear that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues if any from petitioner companies, including imposition of penalties etc. as provided in law.

17. Certificates of respective statutory auditors of all the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard

notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

18. The shareholders of the applicant companies are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

19. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited (1995) 5 SCC 491 the three judges bench of Hon'ble Supreme Court held that a company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process.

20. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by statutory provisions and the Rules.

21. The petitioner companies have filed an affidavit dated 05.09.2018 confirming that no objection has been received against the Scheme from any party or from any person interested in the Scheme in any manner.

22. It has also been affirmed in the petition that Scheme is in the interest of all the transferor companies and the transferee company including their shareholders, creditors, employees and all concerned.

23. In the joint petition it has been affirmed that no proceedings under Section 210 to 227 of the Companies Act, 2013 are pending against the Petitioner Companies.

24. It has been also affirmed by the petitioner companies that the Scheme is in interest of both the petitioner companies, their shareholders, creditors, employees and all concerned.

25. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the Petitioner companies to the proposed Scheme, and the affidavit filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, official liquidator and no objection of Department of Income Tax, there appears to be no impediment in sanctioning the present Scheme.

26. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

27. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

28. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

29. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty,

taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

30. **THIS TRIBUNAL DO FURTHER ORDER**

- *That all the Transferor Companies shall stand dissolved without following the process of winding-up; and*
- *That all the property, rights and powers of all the transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.*
- *That all the liabilities and duties of all the transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*

- *That all proceedings now pending by or against all the transferor Companies, be continued by or against the transferee company; and*
- *That all the employees of all the transferor companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the respective transferor company on the said date.*
- *That on sanction of the Scheme the name of the Transferee Company will not be changed automatically. The transferee Company is directed to make necessary compliances and file requisite e-form by paying applicable fees under the provisions of Companies Act, 2013 and the rules made thereunder to give effect to such change of name; and*
- *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of*

Company for registration and on such certified copy being so delivered the transferor company no. 3 shall be dissolved and the Registrar of Company shall place all documents relating to the transferor company registered with him on the file kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and

- *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

26.02.2019

(M.M. KUMAR)

PRESIDENT

Sd/-

(S. K. MOHAPATRA)

MEMBER (T)